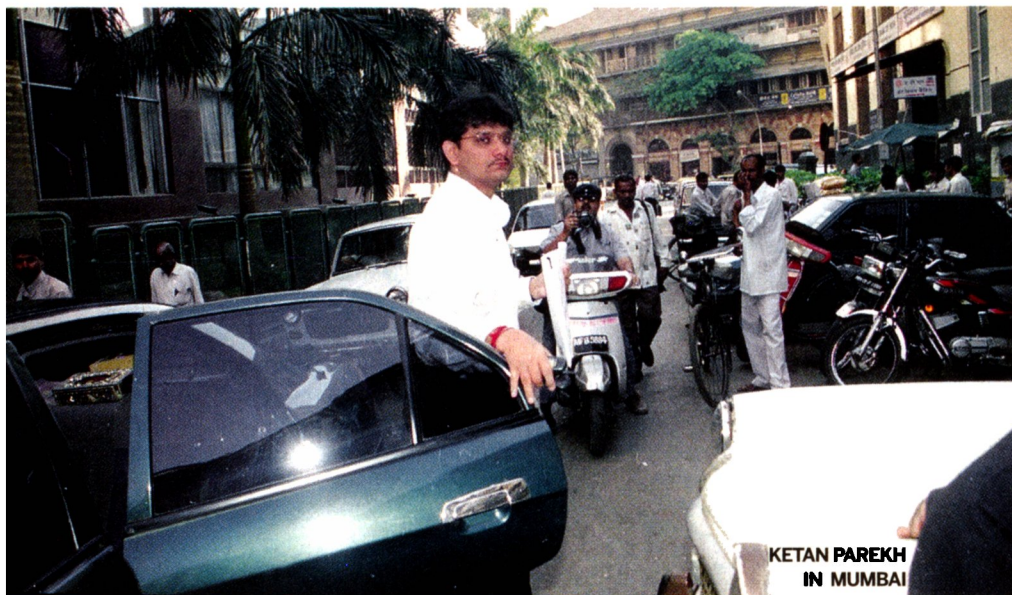




KETAN PAREKH
IN MUMBAI

| 2001 | KETAN PAREKH SCAM

Stock and Bull Story

The market crashed but ended up pushing much-needed modernisation

Ketan Parekh can best be described as the Pied Piper of Dalal Street. For two years, marketmen followed his every action because all he touched turned to gold. Better known as the Pentafor Bull, he kept a low profile, except when he threw a millennium bash that was attended by politicians, business magnates and film stars. A chartered accountant by training, Parekh came from a family of brokers, which helped him create a trading ring of his own. Between 1999 and 2000, as the technology bubble was engulfing the rest of the world, the stock market in India sprang to life too. Be it investment firms, mostly controlled by promoters of listed companies, overseas corporate bodies or cooperative banks, all were ready to hand the money to Parekh, which he used to rig up stock prices by making his interest apparent. In no time, scrips like Visualsoft rose from Rs 625 to Rs 8,448 per share and Sonata Software from Rs 90 to Rs 2,150. But the vicious cycle of fraud did not end with price rigging. The inflated stocks had to be dumped onto someone in the end, for which Parekh used financial institutions like the UTI. But the party ended rather abruptly a day after the Union Budget was presented in February 2001. A bear cartel started disrupting Parekh's party by hammering prices of the K-10 stocks, precipitating a payment crisis in Kolkata. As SEBI investigated, it was evident that bank and promoter funds were used to rig the markets. Parekh was arrested in March that year and was in custody for 53 days. In the aftermath of the scam, many gaping loopholes in the market were plugged. The trading cycle was now reduced from one week to one day. Badla was banned and operators could not carry forward trade in its primitive form. Forward trading was formally introduced in the form of exchange-traded derivatives to ensure a well-regulated futures market. Broker control over stock exchanges was demolished. It's perhaps thanks to the Pentafor Bull that India's stock markets are today considered safe. And to his credit, Parekh forced lethargic policy-makers to institute reforms in the financial system. He is, however, now suspected to be operating in the markets through conduits. Parekh will remain a work-in-progress for regulators.

by Malini Bhupta

THE MAIN EVENT

Attack on Parliament

On December 13, a suicide squad of five terrorists with grenades in backpacks, Kalashnikovs strapped across their chests and murder on their mind stunned a nation. Contrary to democratic ideals, the Houses of Parliament did not symbolise the aspirations of the masses but the clout of a chosen few. The attack was a message to them that in an environment of high political stakes and heightened anxiety, no one was safe. When a shaky calm returned to Parliament so did the realisation that the country had been lucky. At one stage, the terrorists were less than a metre away from the three steps that lead into the office of the Rajya Sabha chairman, Vice-President Krishan Kant. The simple, swift action of slamming doors prevented a violent sequence of events spiralling out of control. *India Today, December 24, 2001*



SECURITY OFFICERS DURING
THE ATTACK ON PARLIAMENT

ALSO

- A 7.9 earthquake in Gujarat's Bhuj kills over 30,000
- India becomes the second nation after China to have a population of one billion
- Calcutta reverts to its pre-colonial name Kolkata

PAREKH SIPHONED OFF OVER RS 1,400 CRORE FROM FINANCIAL INSTITUTIONS OVER TWO YEARS.